



Cyber Protection Policy

for Small and Mid-Sized Businesses

Policy form HIC-CY-100 (10/26) · Declarations HIC-CY-DEC (10/26) · An admitted insurance policy

ISSUED TO Cedar Ridge Accounting Group, LLC	POLICY NUMBER HIC-CY-2026-004817	POLICY PERIOD Oct 15, 2026 – Oct 15, 2027	AGGREGATE LIMIT \$1,000,000
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Suspect a cyberattack, breach or fraudulent payment?
Call before you do anything else. We answer 24 hours a day, 7 days a week.

1-800-555-0142

IMPORTANT: PARTS OF THIS POLICY ARE CLAIMS-MADE AND REPORTED. The liability coverages (Coverages I, J, K and L, and Coverage Q if purchased) apply only to **Claims** first made against you during the **Policy Period** and reported to us as Section V requires. **Claim Expenses** (defense costs) reduce the limits of liability and count toward the **Retention**. The first-party coverages apply to **Incidents** you first **Discover** during the **Policy Period**. Please read the entire policy carefully to understand what is and is not covered.

WHAT'S INSIDE

1. Important notices to policyholders
2. Declarations (HIC-CY-DEC)
3. What to do if something happens
4. Policy wording (HIC-CY-100), Sections I–VI
5. Terrorism disclosure (HIC-IL-TRIA)

YOUR POLICY AT A GLANCE

1. \$1,000,000 for all coverages combined
2. \$5,000 retention per incident, after security credit
3. First 72 hours of incident response at no cost to you
4. 12 core coverages plus 2 optional coverages purchased

Important Notices to Policyholders

Please read these notices. They explain how this policy works and what it does not do. They do not change or add to the coverage in the policy. If a notice and the policy wording differ, the policy wording controls.

1 Some coverages are claims-made and reported

Coverages I (Network Security and Privacy Liability), J (Regulatory Defense and Penalties), K (PCI Fines and Assessments), L (Media Liability) and, if purchased, Q (Website Tracking Liability) cover only **Claims** first made against you during the **Policy Period** and reported to us within the deadlines in Section V. A **Claim** first made after this policy ends is not covered unless an **Extended Reporting Period** applies. If you replace this policy, make sure the new policy covers earlier events (see “Retroactive Date” in Item 8 of the Declarations).

2 Defense costs reduce your limits

Money we spend on lawyers, experts and other **Claim Expenses** is part of, and reduces, the limits of liability. It also counts toward your **Retention**. Once the limits are used up, we have no further duty to defend or pay.

3 How to read this policy

We have tried to write this policy in plain English. Words in **bold** have the meanings given in Section II, Definitions. The coverage letters (A through R) are the same in the Declarations and the policy wording. Headings and the shaded “In short” notes help you find your way. They are not part of the contract terms and do not limit or expand coverage.

4 What this policy does not do

This policy is not a guarantee that you will not suffer a cyberattack, and it does not replace good security. It does not cover every cyber-related loss. In particular, it is not a professional liability (errors and omissions) policy, a crime or fidelity policy for employee theft, or a property policy for physical damage. You may need those policies as well. Ask your insurance adviser if you are unsure.

5 Ransom payments and sanctions

We may pay or reimburse an extortion payment only where the law allows it, only with our prior written consent, and only after the checks described in Section V. We cannot make or reimburse any payment that would violate U.S. or other applicable economic sanctions. U.S. Department of the Treasury guidance encourages victims to report ransomware attacks to law enforcement promptly. We will help you do so.

6 Terrorism coverage

Losses from certified acts of terrorism are covered to the extent this policy otherwise covers them. The required federal disclosure is included at the end of this packet (form HIC-IL-TRIA).

7 Your privacy

We collect information about your business, and about individuals connected to it, to underwrite this policy, handle claims and meet legal obligations. We do not sell this information. We share it only with service providers, reinsurers, regulators and others as the law permits or requires. You may ask what information we hold about you by writing to privacy@harborlineinsurance.com or to our home office shown in the Declarations.

8 Admitted insurer and guaranty fund protection

Harborline Insurance Company is licensed (“admitted”) to write this insurance in Colorado, and this policy form is filed with the Colorado Division of Insurance. If an admitted insurer becomes insolvent, covered claims may be paid by the state insurance guaranty association, subject to its limits and rules.

9 Questions and complaints

If you have a question about your coverage or a claim, call us first at 1-800-555-0142. If we cannot resolve your concern, you may contact the Colorado Division of Insurance (doi.colorado.gov).

Specimen disclaimer. This document is a specimen policy prepared to illustrate policy design. Harborline Insurance Company is fictional. The document is not an offer to sell insurance, has not been filed with or approved by any regulator, and is not legal advice. Any resemblance to an actual insurer, policyholder or person is coincidental.



HARBORLINE
INSURANCE
COMPANY

Policy Declarations

Cyber Protection Policy for Small and Mid-Sized Businesses
Form HIC-CY-DEC (10/26)

SPECIMEN — for illustration only. Harborline Insurance Company, its phone number and web addresses are fictional.

IMPORTANT NOTICES — PLEASE READ

- Your liability coverages (I through L, and Q if purchased) are **claims-made and reported**. They cover claims first made against you during the policy period and reported to us as this policy requires.
- **Defense costs reduce your limits**. Money spent on lawyers counts toward your limit and your retention.
- This page is a summary. The full policy wording controls. Words in bold in the policy have special meanings, defined in the Definitions section.

Policy number	HIC-CY-2026-004817	New or renewal	New
Producer	Direct (no broker)	Issuing company	Harborline Insurance Company, an admitted insurer Home office: 100 Harborline Plaza, Denver, CO 80202

ITEMS 1-5 · INSURED, PERIOD, PREMIUM, LIMITS, RETENTION

Item 1. Named insured	Cedar Ridge Accounting Group, LLC 1450 Market Street, Suite 600, Denver, CO 80202 Website and email domains: cedarridgecpa.com		
Item 2. Policy period	From October 15, 2026 to October 15, 2027 , both dates at 12:01 a.m. local time at the address in Item 1.		
Item 3. Premium	Base annual premium		\$6,120
	Security credit (see Item 7)		-\$612
	Taxes and fees		\$0
	Total due		\$5,508
Item 4. Limits of liability	Policy aggregate limit: \$1,000,000 — the most we will pay for all coverages combined during the policy period, including defense costs. Incident response services: the first 72 hours after you report are provided <i>in addition to</i> the aggregate limit, with no retention.		
Item 5. Retention (your deductible)	Standard retention for revenue \$5M–\$25M: \$10,000 each incident Your retention after security credit: \$5,000 each incident One retention per incident. If one incident triggers several coverages, you pay only the single largest retention that applies.		

ITEM 6 · COVERAGE SCHEDULE

Core coverages are always included. Optional coverages apply only where marked **Yes**. Coverage letters match the insuring agreements in Section I of the policy. Every limit is part of, not in addition to, the \$1,000,000 policy aggregate limit (except Coverage A).

	PART 1 · CORE COVERAGE	WHAT IT PAYS FOR, IN PLAIN ENGLISH	LIMIT	RETENTION
A	Incident Response Services	24/7 hotline, breach coach and first-response forensics for the first 72 hours	Included (outside limit)	\$0
B	Breach Response Costs	Forensics, legal advice, notification letters, call center, credit monitoring, crisis PR	\$1,000,000	\$5,000
C	Cyber Extortion and Ransomware	Expert negotiators and, where legally allowed, ransom payments	\$1,000,000	\$5,000
D	Business Interruption	Lost income and extra costs while your systems are down after a cyberattack	\$1,000,000	8-hour waiting period
E	Dependent Business Interruption	The same, when an attack on your IT or cloud provider takes you offline	\$500,000	8-hour waiting period
F	Data and System Restoration	Restoring data and software, and removing malware	\$1,000,000	\$5,000
G	Security Improvement Costs	Security upgrades our incident team recommends after a covered attack	\$25,000	None
H	Social Engineering and Funds Transfer Fraud	Money lost when you are tricked or hacked into sending payments, including by deepfakes	\$250,000	\$5,000 (\$2,500 if reported to us and your bank within 72 hours)
I	Network Security and Privacy Liability	Lawsuits from customers or others after a breach or privacy violation	\$1,000,000	\$5,000
J	Regulatory Defense and Penalties	Government investigations, and fines where insurable by law	\$1,000,000	\$5,000
K	PCI Fines and Assessments	Card brand fines and assessments after a payment card breach	\$250,000	\$5,000
L	Media Liability	Claims over your website or social media content (defamation, copyright)	\$1,000,000	\$5,000

Business interruption period of restoration: up to 180 days from when the outage begins (Coverages D, E and M).

	PART 2 · OPTIONAL COVERAGE	WHAT IT PAYS FOR	PURCHASED?	LIMIT	RETENTION
M	System Failure Business Interruption	Lost income from non-malicious outages, like a failed software update	No	—	—
N	Computer Replacement (Bricking)	Replacing hardware made unusable by an attack	Yes	\$100,000	\$5,000
O	Reputational Harm	Lost profit when news of a breach drives customers away	No	—	—
P	Cryptojacking and Telecom Fraud	Unauthorized use of your computing power or phone lines	Yes	\$50,000	\$5,000
Q	Website Tracking Liability	Lawsuits over website pixels and cookies (e.g., California's CIPA)	No	—	—
R	Increased Fraud Limit	Raises the Coverage H limit to \$500,000	No	—	—

ITEMS 7-12 · CREDITS, DATES, REPORTING AND FORMS			
Item 7. Security credits (based on your application)	SECURITY CONTROL	VERIFIED?	WHAT YOU EARNED
	Multi-factor authentication (MFA) on email, remote access and admin accounts, plus EDR on all devices	Yes	Retention cut from \$10,000 to \$5,000, plus a 10% premium credit
	Offline or immutable backups, with restoration tested in the last 12 months	Yes	No ransomware coinsurance (otherwise you pay 20% of ransomware losses)
	Callback verification for all payment and bank-detail changes	Yes	Coverage H at the full \$250,000 (otherwise \$100,000)
	24/7 managed detection and response (MDR)	No	Not earned — would cut the business interruption waiting period from 8 to 4 hours
Section IV.G of the policy explains what happens if a credited control is not in place when an incident occurs.			
Item 8. Claims-made dates	Retroactive date: Full prior acts (no date restriction) Continuity date: October 15, 2026 — we do not cover problems your executives knew about before this date		
Item 9. Extended reporting period	Automatic: 60 days after the policy ends Optional: 12 months for 75% of the annual premium, or 24 months for 125% Not available if we cancel for non-payment or fraud.		
Item 10. How to report an incident (24/7)	Hotline 1-800-555-0142 Email incidents@harborlineinsurance.com Online harborlineinsurance.com/report Report as soon as possible. Never delay a notice that the law requires you to make.		
Item 11. Choice of law	Colorado		
Item 12. Forms and endorsements	FORM	TITLE	
	HIC-CY-DEC (10/26)	Declarations	
	HIC-CY-100 (10/26)	Cyber Protection Policy	
	HIC-CY-APP (10/26)	Application (attached)	
	HIC-CY-CO (10/26)	Colorado Amendatory Endorsement*	
	HIC-IL-TRIA (10/26)	Terrorism Risk Insurance Act Disclosure	
*State amendatory endorsements are filed separately with the state regulator and are not reproduced in this specimen.			

These Declarations, the policy form, the Application and any endorsements listed in Item 12 together make up your policy.

Eleanor Voss

 President, Harborline Insurance Company

Marcus Hale

 Secretary, Harborline Insurance Company

October 15, 2026

 Date issued

WHAT TO DO IF SOMETHING HAPPENS

Keep this page where your team can find it. Speed matters: most of the cost of an attack is decided in the first few hours.

- 1

Call the hotline first: 1-800-555-0142
Our breach coach answers 24/7. The first 72 hours of incident response are free (Coverage A) and do not reduce your limit. If you are unsure whether something counts, call anyway. Suspected incidents are covered.
- 2

Don't pay a ransom, negotiate or admit fault before talking to us
Paying or negotiating without our consent can break the law and can void coverage for that payment. Don't reply to the attacker. Don't tell customers or others that you are at fault.
- 3

Preserve evidence
Disconnect affected machines from the network, but don't switch them off, wipe or rebuild them until our forensics team says so. Keep emails, logs and ransom notes.
- 4

Sent money to a fraudster? Call your bank, then us, within 72 hours
Ask your bank to recall the transfer and file a report at ic3.gov. Reporting to your bank and to us within 72 hours halves your Coverage H retention to \$2,500, and fast reporting gives the best chance of recovering the money.
- 5

We assemble your response team
Lawyers, forensic investigators, negotiators and notification vendors from our panel start work without further paperwork. You may ask to use your own providers. See Section V.C of the policy.
- 6

Make legally required notices on time
Many state laws, including Colorado's, require you to notify affected people within 30 days. You never need our permission to meet a legal deadline, and we will never deny coverage because you did.

YOUR RESPONSE CONTACTS — FILL IN AND KEEP WITH YOUR INCIDENT RESPONSE PLAN	
Harborline 24/7 hotline	1-800-555-0142 · incidents@harborlineinsurance.com
Your policy number	HIC-CY-2026-004817
Internal response lead	Dana Whitfield, Managing Partner · 303-555-0187
IT provider (MSP)	Summit Peak Technology Partners · 24/7 line 303-555-0164
Bank fraud line (wire recalls)	Use the number printed on your bank card or statement, not one from an email
Law enforcement	FBI Internet Crime Complaint Center: ic3.gov

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HOW TO FIND WHAT YOU NEED

What is covered?	Section I, Coverages A–R. The letters match Item 6 of the Declarations.
What do the bold words mean?	Section II, in alphabetical order.
What is not covered?	Section III. Part A applies to every coverage; Part B to specific coverages.
How much will Harborline pay, and what do I pay?	Section IV, together with Items 4–7 of the Declarations.
What do I do when something happens?	Section V, and the one-page guide after the Declarations.
What other rules apply?	Section VI (cancellation, extended reporting, sanctions and more).

Cyber Protection Policy

for Small and Mid-Sized Businesses · Form HIC-CY-100 (10/26)

This policy is a contract between you and us. In return for your premium, and relying on the statements in your **Application**, we agree to provide the coverage described below, subject to the Declarations and all the terms of this policy.

Throughout this policy, “you” and “your” mean the **Insured Organization**. “We,” “us” and “our” mean Harborline Insurance Company. Other words in **bold** have the meanings given in Section II. The coverage letters A through R are the same as in Item 6 of the Declarations.

SECTION I WHAT WE COVER

How coverage is triggered

1. **First-party coverages** (Coverages B–H, M, N, O, P and R) apply to an **Incident** that you first **Discover** during the **Policy Period** and report to us as Section V.A requires.
2. **Liability coverages** (Coverages I–L and Q) apply to a **Claim** first made against an **Insured** during the **Policy Period** or any **Extended Reporting Period**, and reported to us as Section V.A requires, for a **Wrongful Act, Security Failure** or **Privacy Event** that first took place on or after the **Retroactive Date**, if any.
Coverage A has its own trigger, described in Coverage A.
3. Every payment is subject to the limits, **Retention**, **Waiting Period** and coinsurance terms in Section IV and the Declarations.
4. Optional coverages (Part 2) apply only if Item 6 of the Declarations shows them as purchased.

PART 1 — CORE COVERAGES

A Incident Response Services

IN SHORT One call to our hotline gets you a breach lawyer and a forensic team. The first 72 hours cost you nothing and do not reduce your limit.

If you report an actual or suspected **Incident** to our **Hotline** during the **Policy Period**, we will provide **Incident Response Services** through our **Panel Providers** for the first 72 hours after your report. We will provide these services even if it later turns out that no **Incident** occurred.

Incident Response Services are provided in addition to the Policy Aggregate Limit, and no **Retention** applies. Services after the first 72 hours are covered under the coverage that applies to them (for example, Coverage B, C or F), subject to that coverage's limit and the **Retention**.

B Breach Response Costs

IN SHORT We pay to investigate a breach, meet your legal duties to notify people, and protect the people affected.

We will pay **Breach Response Costs** that you incur because of an actual or reasonably suspected **Security Failure** or **Privacy Event** that you first **Discover** during the **Policy Period**.

C Cyber Extortion and Ransomware

IN SHORT If criminals threaten your systems or data and demand payment, we pay experts to respond and, where the law allows, the payment itself.

We will pay **Extortion Costs** that you incur to respond to a **Cyber Extortion Threat** that you first **Discover** during the **Policy Period**. An **Extortion Payment** requires our prior written consent and the steps in Section V.F.

D Business Interruption

IN SHORT If a cyberattack takes your systems down for more than 8 hours, we pay the income you lose and the extra costs of keeping the business running, for up to 180 days.

We will pay **Business Interruption Loss** that you incur during the **Period of Restoration** as a direct result of an **Interruption** of your **Computer System** caused by a **Security Failure** that you first **Discover** during the **Policy Period**.

We pay only if the **Interruption** lasts longer than the **Waiting Period**, and only for **Business Interruption Loss** incurred after the **Waiting Period** ends.

E Dependent Business Interruption

IN SHORT The same protection as Coverage D when the attack hits an IT or cloud provider you rely on, rather than your own systems.

We will pay **Business Interruption Loss** that you incur during the **Period of Restoration** as a direct result of an **Interruption** of a **Dependent Business's** computer systems caused by a **Security Failure** of those systems that you first **Discover** during the **Policy Period**.

We pay only if the **Interruption** lasts longer than the **Waiting Period**, and only for **Business Interruption Loss** incurred after the **Waiting Period** ends.

F Data and System Restoration

IN SHORT We pay to get your data and software back to the way they were before an attack, and to remove malware.

We will pay **Restoration Costs** that you incur because of a **Security Failure** that you first **Discover** during the **Policy Period**.

G Security Improvement Costs

IN SHORT After a covered attack, we help pay for the fixes our experts recommend so it does not happen again.

If an **Incident** causes **Loss** covered under Coverage B, C, D or F (whether or not that **Loss** exceeds the **Retention**), we will also pay **Security Improvement Costs** that you incur within 90 days after that **Incident** is contained, up to the limit shown for Coverage G in Item 6 of the Declarations. No separate **Retention** applies to this coverage.

H Social Engineering and Funds Transfer Fraud

IN SHORT If you are tricked into sending money to a criminal, or a criminal breaks into your accounts and moves money, we reimburse you. Verifying payment changes by phone keeps your full limit.

1. We will pay your **Direct Financial Loss** resulting from **Funds Transfer Fraud**, **Social Engineering Fraud** or **Invoice Manipulation** that you first **Discover** during the **Policy Period**.
2. **Callback verification.** If **Social Engineering Fraud** involves an instruction to pay a new payee, or to change the bank account or payment details for an existing payee, the most we will pay for that **Incident** is \$100,000 unless you performed **Callback Verification** before the transfer. This amount is part of, not in addition to, the Coverage H limit.

3. If Item 7 of the Declarations shows that the callback verification credit was not earned, the Coverage H limit is \$100,000.
4. If you report the **Incident** to us, and to your financial institution, within 72 hours after you first **Discover** it, the **Retention** is halved as Section IV.D.4 describes.

I Network Security and Privacy Liability

IN SHORT If customers, employees or business partners sue you after a breach or privacy failure, we defend you and pay settlements and judgments.

We will pay **Damages** and **Claim Expenses** that an **Insured** becomes legally obligated to pay because of a **Claim** alleging a **Security Wrongful Act** or **Privacy Wrongful Act**.

J Regulatory Defense and Penalties

IN SHORT If a regulator investigates you after a breach, we pay your lawyers and, where the law allows, the fines.

We will pay **Claim Expenses** and **Regulatory Penalties** that an **Insured** becomes legally obligated to pay because of a **Regulatory Proceeding** arising from a **Security Failure** or **Privacy Event**.

K PCI Fines and Assessments

IN SHORT If card data is breached and the card brands or your bank bill you for fines and fraud costs, we pay them.

We will pay **PCI Fines and Assessments** and **Claim Expenses** that an **Insured** becomes legally obligated to pay because of a **PCI Claim** arising from a **Security Failure** or **Privacy Event** involving **Payment Card Data**.

L Media Liability

IN SHORT If someone sues you over content on your website, social media or marketing (for example for defamation or copyright infringement), we defend you and pay the damages.

We will pay **Damages** and **Claim Expenses** that an **Insured** becomes legally obligated to pay because of a **Claim** alleging a **Media Wrongful Act**.

PART 2 — OPTIONAL COVERAGES (ONLY IF SHOWN AS PURCHASED IN ITEM 6)

M System Failure Business Interruption **OPTIONAL**

IN SHORT Extends Coverage D to outages that are not caused by an attack, such as a failed software update or an IT mistake.

We will pay **Business Interruption Loss** that you incur during the **Period of Restoration** as a direct result of an **Interruption** of your **Computer System** caused by a **System Failure** that you first **Discover** during the **Policy Period**. We pay only if the **Interruption** lasts longer than the **Waiting Period**, and only for **Business Interruption Loss** incurred after the **Waiting Period** ends.

N Computer Replacement (Bricking) **OPTIONAL**

IN SHORT If an attack leaves laptops, servers or network equipment permanently unusable, we pay to replace them.

We will pay the reasonable cost to replace **Hardware** that a **Security Failure**, first **Discovered** during the **Policy Period**, has made unusable for its intended purpose, if the **Hardware** cannot be restored by reinstalling or reconfiguring its software or firmware, or if replacing it costs less than restoring it.

We will pay for replacement **Hardware** of like kind, quality and function. If that is no longer available, we will pay for the closest current equivalent, even if it performs better. Coverage N does not apply to **Hardware** that is lost or stolen.

O **Reputational Harm** OPTIONAL

IN SHORT If news of a breach drives customers away, we pay the profit you lose for up to 180 days.

We will pay **Reputational Harm Loss** that you incur during the 180 days after an **Adverse Publication** about a **Security Failure** or **Privacy Event** that you first **Discover** during the **Policy Period**. The **Adverse Publication** must first be published during the **Policy Period** or within 60 days after it ends.

P **Cryptojacking and Telecom Fraud** OPTIONAL

IN SHORT If criminals use your computers or cloud accounts to mine cryptocurrency, or hijack your phone system, we pay the resulting bills.

We will pay the following amounts, if the **Cryptojacking** or **Telecom Fraud** is first **Discovered** during the **Policy Period**:

1. additional charges for electricity, cloud computing or other metered services that you incur because of **Cryptojacking**; and
2. charges from your telephone or telecommunications provider that you are legally obligated to pay because of **Telecom Fraud**.

Q **Website Tracking Liability** OPTIONAL

IN SHORT Covers lawsuits claiming that pixels, cookies or similar tools on your website collected or shared visitor data unlawfully.

We will pay **Damages** and **Claim Expenses** that an **Insured** becomes legally obligated to pay because of a **Claim** alleging a **Tracking Wrongful Act**. When this coverage applies, Exclusion III.A.15(b) does not apply to that **Claim**.

R **Increased Fraud Limit** OPTIONAL

IN SHORT Doubles the social engineering and funds transfer fraud limit to \$500,000.

The Coverage H limit is increased to \$500,000. The increased limit remains part of the Policy Aggregate Limit and remains subject to Coverage H, paragraph 2, and Section IV.G.1(c). Coverage R is available only if Item 7 of the Declarations shows that the callback verification credit was earned.

SECTION II DEFINITIONS

In this policy, words and phrases in **bold** have the meanings below. The singular includes the plural, and the plural includes the singular. “Including” means “including but not limited to.”

1. “**Adverse Publication**” means a report or communication to the public, by a news outlet or on a social media platform, by someone other than an **Insured**, that discloses a **Security Failure** or **Privacy Event**.
2. “**Application**” means the signed application for this policy (form HIC-CY-APP) and all information, attachments and statements you gave us with it or during underwriting. It does not include the results of any external security scan that we run ourselves.

3. **“Bodily Injury”** means physical injury, sickness, disease or death of a person, and any mental anguish or emotional distress resulting from it.
4. **“Breach Response Costs”** means the following reasonable and necessary costs, incurred within 12 months after you first **Discover** the **Security Failure** or **Privacy Event** (or longer if a law requires the service):
 - (a) forensic investigation to find the cause and scope of the event, contain it, and determine whether **Personal Information** or **Confidential Information** was affected;
 - (b) legal services to advise you on your response and to determine and meet your notification obligations under **Privacy Law**;
 - (c) notifying affected individuals, regulators, payment card companies and others as required by law, or as we agree will reduce **Loss**;
 - (d) a call center to answer questions from notified individuals;
 - (e) credit monitoring, identity monitoring and identity restoration services for affected individuals for 12 months, or longer if a law requires it; and
 - (f) public relations and crisis communications services to limit harm to your reputation.
5. **“Business Interruption Loss”** means **Income Loss** and **Extra Expense**. It also includes reasonable fees of a forensic accountant, approved by us, to calculate your **Income Loss** and **Extra Expense**.
6. **“Callback Verification”** means confirming a payment instruction, or a change to a payee's bank account or payment details, by contacting the person or organization that supposedly made the request, using a telephone number or other contact method that was on file before the request was received or that you obtained independently. A contact method supplied in the request itself does not count. You must keep a record of the verification.
7. **“Claim”** means any of the following made against an **Insured**:
 - (a) a written demand for money, services or other relief;
 - (b) a civil lawsuit, started by the service of a complaint or similar document;
 - (c) an arbitration, mediation or other alternative dispute resolution proceeding;
 - (d) a **Regulatory Proceeding**;
 - (e) a **PCI Claim**; or
 - (f) a written request to toll or waive a statute of limitations.

A **Claim** is first made when an **Executive** first receives it. A criminal proceeding is not a **Claim**.

8. **“Claim Expenses”** means reasonable and necessary fees and costs, including those of lawyers and experts, incurred by us, or by an **Insured** with our consent, to investigate, defend, settle or appeal a **Claim**, including the premium for an appeal bond (but not the obligation to provide one). It does not include salaries, wages or overhead of any **Insured** or of us.
9. **“Computer System”** means computers and related hardware, software, firmware, networks, mobile devices, connected devices, data storage and backup facilities, and cloud computing environments, that are:
 - (a) owned, leased or operated by the **Insured Organization**; or
 - (b) owned by an employee and used, with your permission, to conduct your business.

For all coverages other than Coverages D, E, M and N, **Computer System** also includes systems operated for you by a third party under a written contract (for example, hosted email, a hosted application or a data storage service).

10. **“Confidential Information”** means non-public information of a third party, other than **Personal Information**, that is in the care, custody or control of an **Insured** (or of a third party on your behalf) and that you are legally or contractually required to keep confidential.
11. **“Continuity Date”** means the date shown in Item 8 of the Declarations.
12. **“Cryptojacking”** means the unauthorized use of your **Computer System**, including your cloud computing accounts, to mine digital currency.
13. **“Cyber Extortion Threat”** means a threat, made by someone other than an **Executive**, to do any of the following unless paid money, digital currency or other property: release, sell, destroy, corrupt or keep encrypted your **Data** or **Personal Information**; introduce malicious code into your **Computer System**; carry out a denial-of-service attack against your **Computer System**; or continue an attack already under way. It includes a **Ransomware Event**.
14. **“Damages”** means compensatory damages, judgments, settlements, pre-judgment and post-judgment interest, and awards of the claimant's legal costs, that an **Insured** is legally obligated to pay. It includes punitive, exemplary and multiplied damages where insurable under the law of the applicable jurisdiction that most favors coverage. It does not include:
 - (a) fines, penalties, taxes or sanctions, except as covered under Coverages J and K;
 - (b) the return or restitution of fees, profits or other amounts paid to an **Insured**;
 - (c) the cost of complying with an injunction or other non-monetary relief;
 - (d) royalties or licensing fees; or
 - (e) liquidated damages, to the extent they exceed the amount the **Insured** would have owed without the agreement.
15. **“Data”** means information that is stored electronically, including software, programs and electronic records.
16. **“Deepfake”** means audio, video, images or text created or altered using artificial intelligence or similar technology so that it appears to come from a real person or organization.
17. **“Dependent Business”** means an organization, other than an **Insured Organization**, that provides you, under a written contract, with information technology services, including cloud computing (infrastructure, platform or software as a service), data hosting, managed IT or security services, or business software that you access online. It does not include a provider of electricity, gas, water, internet backbone, telecommunications or satellite services.
18. **“Direct Financial Loss”** means the amount of **Money** or **Securities** lost, or for **Invoice Manipulation** the amount your customer paid to the criminal that you are unable to collect, less any amount recovered. It does not include interest, lost profits, fees, or any other indirect or consequential loss.
19. **“Discover”** (and **“Discovers,” “Discovered”** or **“Discovery”**) means the moment an **Executive** first becomes aware of facts that would cause a reasonable person to believe that an **Incident** has occurred or is occurring, even if the amount or details of the **Loss** are not yet known.
20. **“Executive”** means any owner, partner, principal, officer, director, member or manager of an **Insured Organization**, and any employee responsible for its information technology or information security. For Definition 19, Exclusion III.A.2 and Section V.A only, it also includes an outsourced provider acting as the person responsible for information technology or information security. That provider is not an **Insured** because of this definition.
21. **“Extended Reporting Period”** means the period described in Section VI.D.

22. **“Extortion Costs”** means:
- (a) fees of **Panel Providers** or other experts we approve to assess, negotiate and respond to a **Cyber Extortion Threat**;
 - (b) an **Extortion Payment**; and
 - (c) reasonable costs to buy, transfer or convert digital currency to make an **Extortion Payment**.
23. **“Extortion Payment”** means money, digital currency or other property paid to end a **Cyber Extortion Threat**, valued at the time of payment.
24. **“Extra Expense”** means reasonable and necessary costs, above your normal operating costs, that you incur to avoid or reduce an **Interruption** and to keep your business operating, such as overtime, temporary staff, rented equipment and outsourced services. It does not include **Restoration Costs**, **Security Improvement Costs** or the cost of improving any system.
25. **“Funds Transfer Fraud”** means a fraudulent instruction, sent to a financial institution by someone other than an **Insured** and without your knowledge or consent, that directs the institution to transfer, pay or deliver **Money** or **Securities** from an account held by the **Insured Organization**. It includes an instruction made through unauthorized access to your **Computer System** or online banking credentials.
26. **“Hardware”** means the physical components of your **Computer System** that the **Insured Organization** owns or leases, such as servers, desktop and laptop computers, network equipment and mobile devices.
27. **“Hotline”** means the incident reporting channels shown in Item 10 of the Declarations.
28. **“Incident”** means a **Security Failure**, **Privacy Event**, **Cyber Extortion Threat**, **Funds Transfer Fraud**, **Social Engineering Fraud**, **Invoice Manipulation**, **System Failure**, **Cryptojacking** or **Telecom Fraud**. **Related Incidents** are one **Incident**.
29. **“Incident Response Services”** means the following services from **Panel Providers**:
- (a) a breach coach (a lawyer experienced in cyber incidents) to direct the response and protect legal privilege;
 - (b) initial forensic triage, including remote investigation and containment;
 - (c) an initial assessment of any **Cyber Extortion Threat**; and
 - (d) initial advice on your legal notification obligations.
30. **“Income Loss”** means the net profit before taxes that you would have earned if the **Interruption** had not occurred, minus the net profit before taxes you actually earned, plus your normal operating expenses (including payroll) that continue during the **Interruption**. It is calculated as Section V.I describes.
31. **“Insured”** means:
- (a) the **Insured Organization**;
 - (b) any past, present or future **Executive**, employee, temporary or leased worker, intern or volunteer of the **Insured Organization**, but only while acting on its behalf;
 - (c) any natural person who is an independent contractor of the **Insured Organization**, but only while performing work for it under its direction;
 - (d) any person or organization that the **Insured Organization** agreed in a written contract to add as an insured, but only for its liability arising from a **Wrongful Act** of an **Insured** described in (a) to (c); and
 - (e) the spouse, domestic partner, estate, heirs or legal representatives of anyone in (b), but only for a **Claim** arising from that person's acts as an **Insured**.

32. **“Insured Organization”** means the **Named Insured** and any **Subsidiary**.
33. **“Interruption”** means an actual and measurable interruption, suspension, failure or slowdown of a computer system. It includes a reasonable shutdown of your **Computer System** that you make, or that we or a **Panel Provider** recommend, to contain or limit a **Security Failure**.
34. **“Invoice Manipulation”** means the sending of fraudulent payment instructions to one of your customers or clients, by a third party impersonating you, as a direct result of a **Security Failure** of your **Computer System**, which causes the customer or client to pay the third party money that it owed you for goods or services you had already provided.
35. **“Loss”** means any amount payable under a coverage in Section I, including **Breach Response Costs, Business Interruption Loss, Claim Expenses, Damages, Direct Financial Loss, Extortion Costs, PCI Fines and Assessments, Regulatory Penalties, Reputational Harm Loss, Restoration Costs, Security Improvement Costs, Hardware** replacement costs under Coverage N and charges under Coverage P.
36. **“Media Content”** means text, images, audio, video, software code or other content that an **Insured** publishes or distributes, in any form or medium, including on your website, social media accounts, emails, newsletters and advertising.
37. **“Media Wrongful Act”** means any of the following committed by an **Insured** in **Media Content**: defamation, libel, slander, trade libel or product disparagement; invasion of privacy, false light, or misappropriation of a person's name or likeness; infringement of copyright, trademark, trade dress, domain name, title or slogan; plagiarism or piracy; or negligence in publishing content.
38. **“Money”** means currency, coins, bank notes and funds on deposit. It does not include digital currency.
39. **“Named Insured”** means the organization shown in Item 1 of the Declarations.
40. **“Panel Provider”** means a law firm, forensic firm, negotiator, notification vendor, public relations firm or other provider on our current list of approved providers, available through the **Hotline**.
41. **“Payment Card Data”** means cardholder data and sensitive authentication data, as those terms are defined in the **PCI DSS**.
42. **“PCI Claim”** means a written demand by a payment card brand, acquiring bank or payment processor for **PCI Fines and Assessments** under a merchant services or similar agreement. **“PCI DSS”** means the Payment Card Industry Data Security Standard, as amended.
43. **“PCI Fines and Assessments”** means fines, penalties, fraud recoveries, operational reimbursements and case management fees that an **Insured** is required to pay under a merchant services or similar agreement because of actual or alleged non-compliance with the **PCI DSS**. It does not include interchange fees, chargebacks, the cost of becoming compliant, or fines for continued non-compliance after the **Security Failure** or **Privacy Event** has been fixed.
44. **“Period of Restoration”** means the period that begins when the **Interruption** begins and ends on the earlier of:
- (a) the date the affected computer system is restored, or with reasonable speed could have been restored, to the same condition and function it had before the **Interruption**, plus the time reasonably needed for your income to return to the level it would have reached had no **Interruption** occurred; or
 - (b) 180 days after the **Interruption** began.
45. **“Personal Information”** means information that identifies, or can reasonably be linked to, an individual, including names combined with Social Security numbers, taxpayer identification numbers, driver's license or passport numbers, financial account or payment card numbers, login credentials, health

information and biometric data, and any other information protected by a **Privacy Law**. It does not include information lawfully made available to the public by a government.

46. **"Policy Period"** means the period shown in Item 2 of the Declarations, or any shorter period if this policy is cancelled.
47. **"Privacy Event"** means:
- (a) the actual or reasonably suspected unauthorized access to, or acquisition, disclosure, loss or use of, **Personal Information** or **Confidential Information** in the care, custody or control of an **Insured**, or of a third party on your behalf, however it happens (including by the loss or theft of a device or paper records, or an employee's mistake); or
 - (b) an unintentional violation of a **Privacy Law** by an **Insured**.
48. **"Privacy Law"** means any law or regulation that governs the security, confidentiality or privacy of **Personal Information**, including data breach notification laws, the Health Insurance Portability and Accountability Act, the Gramm-Leach-Bliley Act and the Federal Trade Commission's Safeguards Rule, the California Consumer Privacy Act, and the EU and UK General Data Protection Regulations. It does not include biometric privacy laws, laws regulating unsolicited communications (such as the Telephone Consumer Protection Act and the CAN-SPAM Act), or any law to the extent a **Claim** alleges a **Tracking Wrongful Act**.
49. **"Privacy Wrongful Act"** means any actual or alleged act, error or omission by an **Insured** (or by a third party for whom an **Insured** is legally responsible) that results in a **Privacy Event**, including a failure to give timely notice of a **Privacy Event** as a **Privacy Law** requires, or a failure to follow your own published privacy policy.
50. **"Ransomware Event"** means a **Security Failure** in which malicious software encrypts, locks or otherwise makes **Data** or your **Computer System** unavailable, whether or not a demand for payment is made.
51. **"Regulatory Penalties"** means civil fines and penalties imposed on an **Insured** in a **Regulatory Proceeding**, and amounts an **Insured** must deposit into a consumer redress fund, where insurable under the law of the applicable jurisdiction that most favors coverage.
52. **"Regulatory Proceeding"** means a civil investigation, demand for information, administrative proceeding or civil lawsuit brought against an **Insured** by a government agency or regulator (including a state attorney general, the Federal Trade Commission, the U.S. Department of Health and Human Services, or a foreign data protection authority), started by a written notice received by an **Executive**.
53. **"Related"** means arising from the same, continuous or causally connected facts, circumstances, events or **Wrongful Acts**. All **Related Incidents** are one **Incident**, first **Discovered** when the earliest was first **Discovered**. All **Related Claims** are one **Claim**, first made when the earliest was first made.
54. **"Reputational Harm Loss"** means the net profit before taxes that you lose as a direct result of an **Adverse Publication**, calculated as Section V.I describes for **Income Loss**. It does not include **Breach Response Costs** or any **Business Interruption Loss**.
55. **"Restoration Costs"** means reasonable and necessary costs to:
- (a) restore, recreate or recollect **Data** and software to the condition they were in before the **Security Failure**, from backups or original sources;
 - (b) find and remove malicious code; and
 - (c) determine that **Data** cannot be restored or recreated, if that is the case.

It does not include the value of the **Data**, the cost of creating it originally, or the cost of improving any system.

- 56. **"Retention"** means the amount shown in Items 5 and 6 of the Declarations that you must pay for each **Incident** or **Claim** before we pay, as Section IV.D describes.
- 57. **"Retroactive Date"** means the date shown in Item 8 of the Declarations. If Item 8 shows "Full prior acts," no **Retroactive Date** applies.
- 58. **"Securities"** means negotiable and non-negotiable instruments or contracts that represent money or other property, not including **Money** or digital currency.
- 59. **"Security Failure"** means a failure or breach of the security of your **Computer System** (or, for Coverage E, of a **Dependent Business's** computer systems), including:
 - (a) unauthorized access to or use of the system, including with stolen credentials or credentials obtained by deception;
 - (b) a denial-of-service attack;
 - (c) the introduction or transmission of malicious code, including ransomware; and
 - (d) the loss or theft of **Hardware** containing **Data**.
- 60. **"Security Improvement Costs"** means reasonable costs of software, services and configuration (including multi-factor authentication, endpoint detection and response, managed detection and response for up to 12 months, and security awareness training) that a **Panel Provider** recommends in writing to prevent a similar **Incident**. It does not include **Hardware**, the salaries of your employees, or costs that you had already committed to before the **Incident**.
- 61. **"Security Wrongful Act"** means any actual or alleged act, error or omission by an **Insured** (or by a third party for whom an **Insured** is legally responsible) that results in a **Security Failure**, including a failure that allows malicious code to pass from your **Computer System** to a third party's systems, or that prevents authorized users from accessing your **Computer System**.
- 62. **"Social Engineering Fraud"** means the intentional deception of an **Insured** by someone impersonating a vendor, client, **Executive**, employee, financial institution or other trusted party, through email, telephone, text message, video call or other communication (including a **Deepfake**), which causes the **Insured** to transfer **Money** or **Securities** of the **Insured Organization**, or to change a payee's bank account or payment details, so that funds are paid to someone other than the intended recipient.
- 63. **"Subsidiary"** means an organization in which the **Named Insured** owns, directly or indirectly, more than 50% of the voting rights on the first day of the **Policy Period**, or that it acquires during the **Policy Period** as Section VI.G describes.
- 64. **"System Failure"** means an unintentional and unplanned outage of your **Computer System** caused by human error, a programming error, a failed software update or patch (including one issued by a vendor), or a malfunction of software or **Hardware**. It does not include a **Security Failure**.
- 65. **"Telecom Fraud"** means the unauthorized access to or use of your telephone or telecommunications systems by someone other than an **Insured**, resulting in charges to you.
- 66. **"Tracking Wrongful Act"** means the actual or alleged collection, interception, recording or sharing of information about visitors to your website or users of your online services through pixels, cookies, web beacons, session replay, chat tools or similar technology without the consent a law requires, in violation of a wiretapping, eavesdropping, video privacy or consumer privacy law.
- 67. **"Waiting Period"** means the number of hours shown for the applicable coverage in Item 6 of the Declarations, counted from when the **Interruption** begins.

68. **“Wrongful Act”** means a **Security Wrongful Act**, **Privacy Wrongful Act**, **Media Wrongful Act** or, if Coverage Q applies, a **Tracking Wrongful Act**.

SECTION III WHAT WE DO NOT COVER

IN SHORT Part A applies to every coverage. Part B adds a few exclusions that apply only to specific coverages. Many exclusions have exceptions (“This exclusion does not apply to...”) that restore coverage in specific situations.

A. EXCLUSIONS THAT APPLY TO ALL COVERAGES

We will not pay **Loss**, or provide services, based on, arising from or attributable to any of the following:

1. **Bodily injury and property damage.** **Bodily Injury**, or physical damage to or destruction of tangible property, including loss of use of that property. This exclusion does not apply to (a) mental anguish or emotional distress alleged in a **Claim** for a **Privacy Wrongful Act** or **Media Wrongful Act**; or (b) **Hardware** covered under Coverage N. **Data** is not tangible property.
2. **Prior knowledge and prior notice.** Any **Incident**, **Wrongful Act** or circumstance that (a) an **Executive** knew about before the **Continuity Date** and reasonably could have expected to lead to **Loss** or a **Claim**; or (b) was reported under any policy that was in force before this one.
3. **Prior or pending proceedings.** Any lawsuit, **Regulatory Proceeding** or other proceeding against an **Insured** that was pending before the **Continuity Date**, or any later **Claim** based on the same or **Related** facts.
4. **Intentional and dishonest acts.** Any dishonest, fraudulent, criminal or malicious act, or knowing violation of law, committed by an **Executive** or with an **Executive's** knowledge or consent. This exclusion applies only if a final, non-appealable judgment or ruling, or the **Insured's** own admission, establishes the conduct. We will defend the **Claim** until then. The conduct of one **Insured** is not imputed to any other natural person **Insured**. This exclusion does not apply to the acts of employees who are not **Executives**, if no **Executive** knew of or consented to them.
5. **War and state cyber operations.**
 - (a) **War**; or
 - (b) a **Cyber Operation** that has a major detrimental impact on the functioning of a **State** by significantly impairing that **State's** ability to provide **Essential Services**, or its security or defense.

Part (b) does not apply to your **Computer System** if it is not physically located in the impacted **State**. In deciding whether a **Cyber Operation** was carried out by, or at the direction of, a **State**, we will consider first whether the government of the **State** where your **Computer System** is located has attributed it to another **State**. Until any attribution is made, we may rely on an objectively reasonable inference from the available evidence. We have the burden of proving this exclusion applies. An act of terrorism, as defined in the Terrorism Risk Insurance Act, is not **War**. For this exclusion:

- (i) **“War”** means the use of physical force by a **State** against another **State**, or as part of a civil war, rebellion, revolution, insurrection or military or usurped power, whether or not war is declared;
- (ii) **“Cyber Operation”** means the use of a computer system by, or at the direction of, a **State** to disrupt, deny, degrade, manipulate or destroy information in a computer system of or in another **State**;
- (iii) **“State”** means a sovereign state; and

- (iv) “**Essential Services**” means services essential to the maintenance of vital functions of a **State**, including financial institutions and financial market infrastructure, health services and utility services.
6. **Infrastructure failure.** Any failure, interruption or outage of electricity, gas, water, internet backbone, telecommunications, satellite or other public infrastructure not under an **Insured's** operational control. This exclusion does not apply to a **Security Failure** of your own **Computer System**. A **Dependent Business** is not public infrastructure.
 7. **Natural perils.** Fire, smoke, explosion, lightning, wind, water, flood, earthquake, volcanic eruption, landslide, hail or any other natural peril. This exclusion does not apply to a **Privacy Event** involving lost or stolen devices or records, or to the loss or theft of **Hardware** described in Definition 59(d).
 8. **Pollution and nuclear.** The actual, alleged or threatened release of pollutants of any kind, or nuclear reaction, radiation or radioactive contamination.
 9. **Government seizure.** The seizure, confiscation, nationalization or destruction of your **Computer System** or **Data** by order of a government. This exclusion does not apply to a **Regulatory Proceeding** under Coverage J.
 10. **Contractual liability.** Liability an **Insured** assumed under a contract, warranty or guarantee. This exclusion does not apply to (a) liability the **Insured** would have had without the contract; (b) an obligation in a contract to protect the security or confidentiality of **Personal Information** or **Confidential Information**; or (c) **PCI Fines and Assessments** under Coverage K.
 11. **Professional services.** An act, error or omission in rendering, or failing to render, professional services to others (for example accounting, tax, legal, financial, consulting or technology advice or work). This exclusion does not apply to **Loss** under the first-party coverages, or to the extent a **Claim** alleges a **Security Wrongful Act** or **Privacy Wrongful Act**.
 12. **Securities, antitrust and unfair trade.** Any actual or alleged violation of securities laws; antitrust, price-fixing or restraint of trade laws; or laws against unfair or deceptive trade practices. The last part does not apply to a **Claim** or **Regulatory Proceeding** arising from a **Security Failure** or **Privacy Event**.
 13. **Employment practices and benefit plans.** Employment-related practices, including wrongful termination, discrimination and harassment, or the administration of any employee benefit plan. This exclusion does not apply to a **Claim** arising from a **Privacy Event** involving the **Personal Information** of employees or plan participants.
 14. **Intellectual property.** Infringement or misappropriation of any patent or trade secret, or infringement of any other intellectual property right. This exclusion does not apply to (a) a **Media Wrongful Act** other than patent infringement or trade secret misappropriation; or (b) the disclosure of a third party's trade secret that is **Confidential Information** because of a **Security Failure** or **Privacy Event**.
 15. **Wrongful collection and tracking.**
 - (a) The collection, capture, storage or use of biometric information (such as fingerprints, voiceprints, or scans of the face, hand, retina or iris) in violation of any law, including the Illinois Biometric Information Privacy Act; or
 - (b) a **Tracking Wrongful Act**, unless Coverage Q applies.

This exclusion does not apply to a **Privacy Event** caused by a **Security Failure**, such as the theft of stored biometric data by a hacker.
 16. **Unsolicited communications.** Any actual or alleged violation of the Telephone Consumer Protection Act, the CAN-SPAM Act, or any other law regulating telemarketing, unsolicited calls, texts, faxes or emails. This

exclusion does not apply if the communications were sent by a third party through unauthorized access to your **Computer System**.

17. **Insured versus Insured.** A **Claim** brought by or on behalf of one **Insured** against another. This exclusion does not apply to a **Claim** by an employee arising from a **Privacy Event** involving that employee's **Personal Information**, or to a **Claim** by an additional insured described in Definition 31(d).
18. **Money, securities and trading.** The loss, theft, or reduction in value of **Money, Securities**, digital currency or other financial assets of an **Insured**, or any trading loss. This exclusion does not apply to an **Extortion Payment** under Coverage C or **Direct Financial Loss** under Coverage H.
19. **Betterment and ordinary business costs.** The cost of upgrading, improving or replacing any system beyond its condition before the **Incident**, except as covered under Coverage G or N; or your ordinary operating costs, salaries and overhead, except as part of **Income Loss** or **Extra Expense**.
20. **Value of data and intellectual property.** The monetary value of **Data**, trade secrets or other intellectual property of an **Insured**, including the cost of the research or development used to create it.

B. EXCLUSIONS THAT APPLY TO SPECIFIC COVERAGES

1. **Business interruption (Coverages D, E and M).** We will not pay for:
 - (a) loss caused by unfavorable business conditions, loss of market, or any other loss beyond the **Period of Restoration**;
 - (b) an **Interruption** caused by planned or scheduled downtime or maintenance, or by ordinary wear and tear;
 - (c) contractual penalties, service credits or liquidated damages for failing to perform a contract;
 - (d) legal costs or **Claim**-related amounts, which are covered, if at all, only under the liability coverages; or
 - (e) under Coverages D and M, an **Interruption** of a **Dependent Business's** computer systems, which is covered, if at all, only under Coverage E.
2. **Fraud (Coverage H).** We will not pay for:
 - (a) any loss caused by a dishonest or fraudulent act of an **Insured**, whether acting alone or in collusion with others (employee theft is a matter for a crime or fidelity policy);
 - (b) any payment for goods, services or investments that were genuinely provided or offered, even if they turned out to be worth less than expected or were misrepresented by the seller;
 - (c) any loss arising from credit you extended, or a customer's failure to pay, except as covered for **Invoice Manipulation**; or
 - (d) any amount you recover from your financial institution, the recipient or any other source.
3. **Media (Coverage L).** We will not pay for a **Claim** arising from (a) false, misleading or comparative advertising about the price or quality of your own goods or services; (b) the failure of goods or services to conform to their advertised quality or performance; or (c) a dispute with an independent contractor or former employee over ownership of **Media Content** they created for you.

SECTION IV LIMITS, RETENTION AND COINSURANCE

IN SHORT We pay up to \$1,000,000 in total. You pay one retention per incident. The first 72 hours of incident response are free. Keeping the security controls you told us about keeps your best terms.

A. Policy Aggregate Limit

The Policy Aggregate Limit in Item 4 of the Declarations is the most we will pay for all **Loss** under all coverages combined, including **Claim Expenses**, for the **Policy Period** and any **Extended Reporting Period**. When it is used up, we have no further obligation to pay **Loss** or to defend any **Claim**.

B. Coverage limits

The limit shown for each coverage in Item 6 is the most we will pay for all **Loss** under that coverage. Each coverage limit is part of, and not in addition to, the Policy Aggregate Limit, even where the two amounts are the same. Payments under a coverage reduce both its limit and the Policy Aggregate Limit.

C. Incident Response Services

Incident Response Services under Coverage A do not reduce any limit, and no **Retention** applies to them.

D. Retention

1. You must pay the **Retention** for each **Incident** or **Claim** before we pay **Loss**. **Claim Expenses** count toward the **Retention**. We may pay **Loss** within the **Retention** and ask you to repay us.
2. **One retention per incident**. If a single **Incident**, including any **Claims** arising from it, triggers more than one coverage, you pay only the largest single **Retention** that applies.
3. No **Retention** applies to Coverage A or Coverage G. For Coverages D, E and M, the **Waiting Period** applies instead of a dollar **Retention**.
4. For Coverage H, if Coverage H, paragraph 4, is met, the **Retention** is half of the amount that would otherwise apply to that **Incident** (for example, \$2,500 instead of \$5,000). If the same **Incident** also triggers another coverage, paragraph 2 applies.

E. Waiting Period

For Coverages D, E and M, we pay only if the **Interruption** lasts longer than the **Waiting Period**, and we do not pay **Business Interruption Loss** incurred during the **Waiting Period**. If an **Interruption** stops and then restarts from the same cause within 72 hours, we treat it as one continuous **Interruption**.

F. Related Incidents and Claims

Related Incidents and **Related Claims** are treated as a single **Incident** or **Claim**. One **Retention** applies, and only the limits of the policy in force when the first of them was **Discovered** or made apply, even if some occur after this policy ends.

G. Security credit adjustment

1. Item 7 of the Declarations lists security credits you earned, based on the controls described in your **Application**. If one of those controls was not in place when an **Incident** began, we will adjust the terms for that **Incident** only, as if that credit had not been earned:
 - (a) MFA and endpoint detection and response: the **Retention** for that **Incident** becomes the standard retention in Item 5;
 - (b) backups: the ransomware coinsurance in Section IV.H applies; and
 - (c) callback verification: the Coverage H limit for that **Incident** becomes \$100,000.
2. We will not make this adjustment if (a) the control was not in place for less than 30 days because of a change you were actively fixing; or (b) the missing control did not contribute to the **Incident** or increase the **Loss**.

3. This adjustment replaces any right we might otherwise have to deny coverage, or to rescind or cancel this policy, because a control was not in place. It does not limit our rights under Section VI.A if the **Application** contained a misrepresentation made with intent to deceive.

H. Ransomware coinsurance

If Item 7 shows that the backup credit was not earned, or Section IV.G applies to it, you will bear 20% of all **Loss** arising from a **Ransomware Event** after the **Retention**, and we will pay 80%. Our share is subject to the applicable limits. Coinsurance does not apply to **Incident Response Services**.

I. Allocation

If a **Claim** or **Incident** involves both covered and uncovered matters or parties, we will pay 100% of **Claim Expenses** until the covered matters are resolved. For all other **Loss**, you and we will each use best efforts to agree on a fair allocation based on the relative legal and financial exposures.

SECTION V WHEN SOMETHING HAPPENS

IN SHORT Call us as soon as you can. Use our panel for the fastest response. Make legal notices on time. Don't pay ransoms, settle or admit fault without us.

A. Reporting Incidents and Claims

1. You must report every **Incident** and **Claim** to us through the **Hotline** as soon as practicable after an **Executive** first **Discovers** the **Incident** or receives the **Claim**.
2. **Claims** must be reported during the **Policy Period**, or no later than 60 days after it ends (or during any **Extended Reporting Period**).
3. **Incidents** under the first-party coverages must be reported no later than 60 days after the **Policy Period** ends. We will not deny coverage for an **Incident** because it was reported late within that window unless the delay materially harmed our ability to investigate or reduce the **Loss**, and then only to the extent of that harm.
4. Your report should include what happened, when it was **Discovered**, the systems and information involved, and copies of any **Claim**, demand or notice received.

B. Notice of circumstances

If, during the **Policy Period**, you become aware of circumstances that could reasonably lead to a **Claim**, and you give us written notice describing them (including the **Wrongful Act**, the people involved and why a **Claim** is expected), any later **Claim** arising from those circumstances will be treated as first made on the date of your notice.

C. Panel Providers and your choice of providers

1. You may use any **Panel Provider** without asking us for further consent. Their rates are pre-agreed with us.
2. You may ask to use a provider that is not on our panel. We will not unreasonably withhold consent. We will pay that provider's reasonable fees up to the amount we would have paid a **Panel Provider** for comparable services.
3. If you incur reasonable costs to contain an **Incident** in an emergency before you can reach us, we will treat them as if we had consented, provided you report the **Incident** within 48 hours after incurring them.

D. Legal notification deadlines

You never need our consent to make a notification that a law or regulation requires, or to meet a legal deadline. We will not deny or reduce coverage because you made a legally required notification without our consent.

E. Your other duties after an Incident or Claim

Every **Insured** must:

- (a) take reasonable steps to contain the **Incident** and reduce **Loss**;
- (b) preserve evidence, including logs, affected devices, emails and ransom notes, and not wipe or rebuild affected systems until our forensic provider agrees;
- (c) cooperate with us and our **Panel Providers**, give us access to relevant systems, records and people, and help us enforce any rights against others;
- (d) not admit liability, make settlement offers, agree to pay any amount, or incur **Claim Expenses** without our prior consent, except as allowed in Section V.D; and
- (e) tell us promptly about any recovery or payment received from another source.

F. Extortion demands

Before any **Extortion Payment** is made:

- (a) you must obtain our written consent, and must not pay, promise to pay or negotiate a payment without it;
- (b) you must, where we reasonably ask, report the threat to the Federal Bureau of Investigation or another appropriate law enforcement agency;
- (c) you must allow us, or a **Panel Provider**, to check that the payment does not involve a person, organization or country subject to economic sanctions (see Section VI.K); and
- (d) you must take reasonable steps to confirm that the threat is credible and that restoring from backups is not a reasonable alternative.

We may pay the **Extortion Payment** directly or reimburse you. Paying an **Extortion Payment** is always your decision. We will never require you to make one.

G. Fraudulent payments

If you **Discover Funds Transfer Fraud, Social Engineering Fraud or Invoice Manipulation**, you must, as soon as possible, (a) ask your financial institution to stop, recall or reverse the transfer; (b) file a complaint with the FBI Internet Crime Complaint Center (ic3.gov) or other law enforcement; and (c) report it to us through the **Hotline**. Within 90 days after **Discovery**, you must send us a signed proof of loss with supporting records.

H. Defense and settlement

1. We have the right and duty to defend any **Claim** covered under Coverages I, J, K, L and Q, even if its allegations are groundless or false. We will appoint defense counsel, normally a **Panel Provider**. We will consider in good faith any counsel you propose.
2. We will not settle a **Claim** without your consent. If you refuse a settlement that we recommend and that the claimant is willing to accept, the most we will pay for that **Claim** is the amount of the recommended settlement, plus **Claim Expenses** incurred up to the date you refused, plus 70% of any **Loss** after that date. You will bear the remaining 30%.
3. You may settle any **Claim** for a total amount within the **Retention**, with our consent, which we will not unreasonably withhold.

I. Business interruption: proving and calculating your loss

1. You must send us a proof of loss within 180 days after the **Period of Restoration** ends. We will extend this deadline if you ask before it passes.
2. We will calculate **Income Loss** using your net profit and operating expenses in the 12 months before the **Interruption**, adjusted for seasonal patterns, trends, and the business you would reasonably have done during the **Period of Restoration**. We will take into account any business you make up after the **Interruption** ends, and any expenses you save because of it.
3. You must use reasonable efforts to resume operations, including by using other systems, locations or providers, and to reduce the **Loss**.

J. Appraisal

If you and we disagree only on the amount of **Business Interruption Loss**, **Restoration Costs** or **Hardware** replacement costs, either may demand an appraisal in writing. Each will choose an independent appraiser within 20 days. The appraisers will choose an umpire. A decision agreed by any two of the three is binding on the amount only. Each party pays its own appraiser and half of the umpire's fees.

K. Payment

We will pay covered **Loss** within 30 days after we receive the documents we reasonably need to verify it, or after an agreement, judgment or appraisal award fixes the amount. Where it is clear that part of a first-party **Loss** is covered, we will pay that part without waiting for the rest to be settled.

SECTION VI GENERAL CONDITIONS**A. The Application**

We issued this policy relying on the **Application**, which is part of this policy. The knowledge of one natural person **Insured** is not imputed to any other natural person **Insured**. Only the knowledge of the person who signed the **Application** and of **Executives** is imputed to the **Insured Organization**. We may rescind this policy only if the **Application** contained a misrepresentation that was made with intent to deceive and that materially affected our decision to issue the policy or its terms. Inaccurate statements about security controls that were not made with intent to deceive are dealt with only under Section IV.G.

B. The Named Insured acts for all Insureds

The **Named Insured** acts on behalf of every **Insured** to give and receive notices, pay premiums, receive return premiums, agree to changes, and buy an **Extended Reporting Period**.

C. Cancellation

1. You may cancel this policy at any time by notifying us. We will refund the unearned premium on a pro rata basis.
2. We may cancel this policy only (a) for non-payment of premium, by giving you at least 10 days' written notice; or (b) for fraud or a material misrepresentation described in Section VI.A, by giving you at least 30 days' written notice. We will refund any unearned premium pro rata.

D. Extended Reporting Period

1. **Automatic.** If this policy is cancelled or not renewed for any reason other than non-payment of premium or fraud, you automatically have 60 days after the **Policy Period** ends to report **Claims** first made during those 60 days, at no additional cost.

2. **Optional.** In the same circumstances, you may instead buy an optional **Extended Reporting Period** of 12 months, for 75% of the annual premium, or 24 months, for 125%, by asking in writing and paying within 60 days after the **Policy Period** ends. It starts when the **Policy Period** ends and replaces the automatic period. The premium is fully earned when paid.
3. Any **Extended Reporting Period** applies only to **Claims** for **Wrongful Acts** committed before the **Policy Period** ends. It does not increase or reinstate any limit, and it does not extend the first-party coverages.

E. Nonrenewal

If we decide not to renew this policy, or to renew it with a premium increase or reduced coverage, we will give you written notice at least 60 days before the **Policy Period** ends, or longer if state law requires.

F. Change in control

If, during the **Policy Period**, the **Named Insured** merges into or is acquired by another organization, or any person or group acquires more than 50% of its voting rights, this policy will continue until the end of the **Policy Period**, but only for **Incidents Discovered**, and **Wrongful Acts** committed, before the change. You must notify us within 30 days after the change. You may ask us to continue full coverage, and we may agree subject to additional terms and premium.

G. New Subsidiaries and acquisitions

If the **Named Insured** creates or acquires an organization during the **Policy Period** whose annual revenue is less than 20% of the **Named Insured's**, that organization is automatically a **Subsidiary**. If its revenue is 20% or more, it is a **Subsidiary** for 90 days after the acquisition, and after that only if we agree in writing. Coverage for a new **Subsidiary** applies only to **Incidents** and **Wrongful Acts** that happen after its creation or acquisition.

H. Territory

This policy applies to **Incidents** occurring, and **Claims** brought, anywhere in the world, where legally permissible and subject to Section VI.K.

I. Other insurance

This policy is excess over any other valid insurance that applies to the same **Loss**, unless that insurance is written specifically as excess of this policy. **Incident Response Services** are always provided on a primary basis.

J. Subrogation and recoveries

If we pay **Loss**, we take over your rights of recovery against others to the extent of our payment, and you must help us enforce them. We waive this right against any person or organization you agreed in writing, before the **Incident**, not to pursue. Any recovery will be applied, after deducting the costs of obtaining it, first to repay you for **Loss** above the limits, then to repay us, and then to repay you for the **Retention** and any coinsurance.

K. Sanctions

We will not provide coverage, pay any **Loss** or provide any benefit to the extent that doing so would expose us to any sanction, prohibition or restriction under the laws or regulations of the United States (including those administered by the Office of Foreign Assets Control), the United Nations, the European Union or the United Kingdom.

L. Action against us

No one may bring legal action against us under this policy unless they have complied with its terms. For the liability coverages, no one may sue us to recover **Damages** until the **Insured's** obligation to pay has been fixed

by a final judgment or by a written settlement agreement that we consented to. No one has a right under this policy to join us as a party to a **Claim** against an **Insured**.

M. Assignment

You may not assign your rights under this policy without our written consent.

N. Bankruptcy

The bankruptcy or insolvency of any **Insured** does not relieve us of our obligations under this policy.

O. Resolving disagreements

If you and we disagree about this policy, either may ask for non-binding mediation with a mutually agreed mediator, whose fees we will share equally. If the disagreement is not resolved within 60 days after mediation is requested, either may bring an action in a court of competent jurisdiction. This does not limit the appraisal process in Section V.J.

P. Choice of law

This policy is governed by the law of the state shown in Item 11 of the Declarations, except where another state's law must apply. The most-favorable-law provisions in Definitions 14 and 51 apply regardless of this condition.

Q. Conformity to law

Any term of this policy that conflicts with the law of the state in Item 11 is amended to conform to the minimum requirements of that law.

R. Automatic improvements

If, during the **Policy Period**, we file a revision of this policy form that broadens coverage without additional premium, the broader coverage will apply to this policy from the date the revision takes effect in your state.

S. Currency

All amounts are in U.S. dollars. **Loss** incurred in another currency is converted at the exchange rate published by the Wall Street Journal on the date the **Loss** is paid or the judgment or settlement is entered.

T. Risk management services

We may offer optional services, such as external security scans, security alerts and training. Using them is voluntary. Your decision not to use them will not affect your coverage, and our scans are not part of your **Application**.

U. Headings and summaries

Headings, the "In short" summaries and the plain-English descriptions in the Declarations are for convenience only. They do not form part of the terms of this policy and do not affect its meaning.

V. Entire agreement and changes

This policy (the Declarations, this form, the **Application**, and the endorsements and disclosures listed in Item 12 of the Declarations) is the entire agreement between you and us. It can be changed only by an endorsement that we issue.

In witness whereof, Harborline Insurance Company has caused this policy to be signed by its President and Secretary. Where required by law, this policy is not valid unless countersigned by an authorized representative of the company.

Eleanor Voss

Eleanor M. Voss, President

Marcus Hale

Marcus T. Hale, Secretary

— END OF POLICY FORM HIC-CY-100 (10/26) —

Policyholder Disclosure: Notice of Terrorism Insurance Coverage

Coverage for acts of terrorism is included in your policy. You are hereby notified that under the Terrorism Risk Insurance Act, as amended, you have a right to purchase insurance coverage for losses resulting from acts of terrorism. As defined in Section 102(1) of the Act, the term “act of terrorism” means any act or acts that are certified by the Secretary of the Treasury, in consultation with the Secretary of Homeland Security and the Attorney General of the United States, to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

YOU SHOULD KNOW THAT WHERE COVERAGE IS PROVIDED BY THIS POLICY FOR LOSSES RESULTING FROM CERTIFIED ACTS OF TERRORISM, SUCH LOSSES MAY BE PARTIALLY REIMBURSED BY THE UNITED STATES GOVERNMENT UNDER A FORMULA ESTABLISHED BY FEDERAL LAW. HOWEVER, YOUR POLICY MAY CONTAIN OTHER EXCLUSIONS WHICH MIGHT AFFECT YOUR COVERAGE, SUCH AS AN EXCLUSION FOR NUCLEAR EVENTS. UNDER THE FORMULA, THE UNITED STATES GOVERNMENT GENERALLY REIMBURSES 80% OF COVERED TERRORISM LOSSES EXCEEDING THE STATUTORILY ESTABLISHED DEDUCTIBLE PAID BY THE INSURANCE COMPANY PROVIDING THE COVERAGE. THE PREMIUM CHARGED FOR THIS COVERAGE IS PROVIDED BELOW AND DOES NOT INCLUDE ANY CHARGES FOR THE PORTION OF LOSS THAT MAY BE COVERED BY THE FEDERAL GOVERNMENT UNDER THE ACT.

YOU SHOULD ALSO KNOW THAT THE TERRORISM RISK INSURANCE ACT, AS AMENDED, CONTAINS A \$100 BILLION CAP THAT LIMITS U.S. GOVERNMENT REIMBURSEMENT AS WELL AS INSURERS' LIABILITY FOR LOSSES RESULTING FROM CERTIFIED ACTS OF TERRORISM WHEN THE AMOUNT OF SUCH LOSSES IN ANY ONE CALENDAR YEAR EXCEEDS \$100 BILLION. IF THE AGGREGATE INSURED LOSSES FOR ALL INSURERS EXCEED \$100 BILLION, YOUR COVERAGE MAY BE REDUCED.

POLICY NUMBER	TERRORISM PREMIUM
HIC-CY-2026-004817	\$0 (included; no separate charge)

This disclosure is part of your policy (see Item 12 of the Declarations). As Section III.A.5 of the policy states, an act of terrorism is not treated as war.